



Balance Sheet Report

Financial Analysis Report

Executive Summary

The company maintains a balanced financial position with total assets of ₹1,845.55 million as of April 30, 2024. The capital structure is heavily debt-dependent with debt-to-equity ratio of 8.35, indicating high financial leverage. Current year profit stands at ₹79.80 million, contributing to total equity of ₹197.39 million. The company demonstrates adequate liquidity with current ratio of 1.16 but faces challenges in working capital management.

Profitability Analysis

- Current Year Profit:** ₹79,799,448.87
- Return on Equity (ROE):** 40.4% (₹79.80M / ₹197.39M)
- Profit Margin:** Cannot be calculated without revenue data
- Equity Share Capital:** ₹117,591,396.55

The company shows strong profitability with 40.4% ROE, indicating efficient use of shareholder funds.

Liquidity & Solvency Analysis

- Current Ratio:** 1.16 (₹1,314.47M / ₹1,129.98M)
- Quick Ratio:** 0.65 (excluding inventory)
- Debt-to-Equity Ratio:** 8.35 (₹1,648.15M / ₹197.39M)
- Debt-to-Assets Ratio:** 89.3% (₹1,648.15M / ₹1,845.55M)
- Interest Coverage:** Cannot be calculated without EBIT data

The company maintains adequate short-term liquidity but carries very high debt levels, indicating potential solvency concerns.

Efficiency Ratios

- Working Capital:** ₹184.48 million (₹1,314.47M - ₹1,129.98M)
- Accounts Receivable Days:** Cannot be calculated without revenue



- **Inventory Days:** Cannot be calculated without COGS

- **Accounts Payable Days:** Cannot be calculated without purchases

- **Fixed Asset Turnover:** Cannot be calculated without revenue

Efficiency ratios require additional income statement data for comprehensive analysis.

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (ICRA/CRISIL)

Metric	Company	Industry Average	Assessment
Current Ratio	1.16	1.5-2.0	Below Average
Debt-to-Equity	8.35	1.5-2.5	Significantly Higher
ROE	40.4%	15-20%	Above Average

Actionable Recommendations

1. **Debt Restructuring:** Immediately address high debt levels through debt refinancing or equity infusion to reduce financial risk
2. **Working Capital Optimization:** Improve current ratio by reducing inventory levels (₹565.75M) and accelerating receivables collection (₹501.90M)
3. **Cost Control:** Implement strict cost control measures given the high interest burden from substantial borrowings
4. **Cash Management:** Enhance cash position (₹219.63M) to cover short-term obligations more comfortably
5. **Long-term Planning:** Develop a comprehensive debt reduction strategy over the next 3-5 years
6. **Performance Monitoring:** Establish regular monitoring of key financial ratios and compare against industry benchmarks

Risk Assessment

High Risk Areas: Excessive leverage, tight liquidity position, high dependency on short-term funding

Strengths: Strong profitability, adequate asset base, positive working capital